

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

Commit to a position and defend it with reasons: when asked to structure, prioritize or recommend, state your best hypothesis with one or two supporting facts from the case, then refine it if challenged. For example: "I'd lead with pricing, because input costs are up ~38% while prices have been frozen two years." Avoid asking whether you're on track or answering "I don't know." When the interviewer corrects you (such as 16 points versus 16%), explicitly update your reading.

Rubric Scores

Problem Structuring

needs work

What needs work

Once in the case, the candidate sensibly split revenue by store count versus same-store sales and by price versus volume, but the opening framework was a generic three-bucket list with no restated objective, no sub-points and no profit = revenue costs logic tied to the margin decline.

"Okay, so... I'd want to look at a few things. First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe external stuff, like competitors or the market overall. Does that seem okay as a starting point?"

"Can I ask — is the 15% revenue growth from more stores, or more sales per store?"

"Got it, thanks. Is that growth coming from price increases or more customers?"

When asked which branch to break down and look at first, the candidate asked data questions instead of stating a prioritized hypothesis. Revenue grew 15% while margin fell 18 points, which points to costs, but that was never said.

"Can I ask — is the 15% revenue growth from more stores, or more sales per store?"

Missed opportunities

Turn 3: the interviewer asked, "Within revenue and costs, what exactly would you break down, and which branch would you look at first?"

A great answer: "The CEO needs to know why margin fell from 24% to 6% despite 15% revenue growth, and what to do about it. Profit is revenue minus costs. On revenue I'd split volume (stores × transactions) and price/mix. On costs I'd split COGS (beans, dairy, packaging, food), labor and overhead/rent. Because revenue is growing while margin collapsed, my hypothesis is that costs, probably COGS, outran pricing, so I'd start there. I'd also check whether peers face the same pressure, which tells us how much pricing power we have."

Quantitative & Analytical Rigor

needs work

What needs work

The candidate repeatedly called 42'58 a "16% increase" and held that reading after being corrected. It is 16 points of revenue, and relative to the base it is a ~38% rise in COGS share (16/42 H 38%).

"The 42 to 58 is still a 16% increase to me, that's the big driver."

"But yeah, I still read the 42 to 58 as a 16% increase, that feels like the main thing."

Once the interviewer supplied the per-100-of-COGS framing, the candidate computed the COGS inflation accurately, narrated each step and compared it with revenue growth, but did not set up the calculation independently or link the computed ~38% back to the 16/42 relative jump.

"Beans up 40%, and they were 25% of COGS two years ago. So that's part of it, but the other inputs are 75% of COGS and up 37.5%, so those matter more in dollar terms."

"Okay. Per 100 of COGS two years ago: beans were 25, up 40%, so $25 \times 1.4 = 35$. Other inputs were 75, up 37.5%, so $75 \times 1.375 = 103.1$. Total is 138.1, so COGS is up about 38% in dollar terms."

"And revenue is up 15%, so costs are growing way faster than sales. That tracks with COGS going 42 to 58 of revenue."

Missed opportunities

Turn 25: the interviewer said "it's 16 points of revenue, not a 16 percent increase."

A great answer: "You're right: it's 16 points of revenue, not 16%. Relative to the 42 base, COGS as a share of revenue rose about 38% (16/42). In points, beans contribute about $42 \times 25\% \times 40\%$ H 4.2 points and the other inputs about $42 \times 75\% \times 37.5\%$ H 11.8. So most of the hit is non-bean input\$.

Data & Exhibit Interpretation

adequate

What went well

The candidate followed up by asking what sits inside COGS, and did not stop at beans: the candidate recognized the non-bean inputs matter more.

“Do we have a split of COGS by line item — like beans versus dairy versus packaging?”

“So that's part of it, but the other inputs are 75% of COGS and up 37.5%, so those matter more in dollar terms.”

What needs work

The candidate walked each cost line and correctly isolated COGS as 16 of the 18 points of margin loss, but called the 42'58 move a percentage increase rather than a percentage-point change in share of revenue, and kept that reading after being corrected.

“Okay — COGS moved the most, 42 to 58. That's a 16% increase.”

“Labor stayed flat at 22, and overhead only went 12 to 14, so 2 points. So basically all of the margin loss, 24 down to 6, is 18 points, and COGS accounts for 16 of that. So it's really a COGS story.”

The exhibit read came only after the interviewer narrowed the question to “which cost lines moved the most,” and the candidate closed by seeking validation rather than stating a next step.

“So it's really a COGS story. Am I on the right track here?”

Missed opportunities

Turn 18, reading the cost-structure exhibit.

A great answer: “Margin fell 18 points. COGS explains 16 of them, going from 42 to 58 points of revenue, overhead adds 2, and labor is flat. So this is a COGS problem, and it's not driven by labor or overhead. Next, I'd split COGS into beans versus dairy, packaging and food, to see whether the bean spike alone explains the 16 points.”

Business Judgment & Insight

adequate

What went well

The ideas were commercially sensible and grounded in case facts: frozen prices and rising input costs.

“Maybe raise prices, since they haven't changed in two years?”

“Or renegotiate supplier contracts, maybe lock in longer-term bean pricing.”

What needs work

When prompted, the candidate named the core risk of a price increase (volume loss and competitive switching), but raised risks only when asked and offered no mitigation such as selective increases or testing.

“That's all I've got, sorry.”

“What could go wrong is customers buy less, or go to competitors. Volume could drop enough to offset the price gain.”

The candidate could not prioritize among the levers by impact despite repeated prompts.

“I don't know, sorry. I can't really pick between them.”

Procurement was framed around beans only, though the candidate's own analysis showed non-bean inputs are the larger driver.

“Or renegotiate supplier contracts, maybe lock in longer-term bean pricing.”

Missed opportunities

Turn 41: after naming the volume risk of a price increase.

A great answer: “To limit that risk, I'd raise prices selectively on specialty drinks where demand is less price-sensitive, pilot in a subset of stores to measure elasticity, and benchmark against competitors' price moves. Since bean and non-bean inputs are both up ~38%, peers are likely feeling the same pressure, which gives us room to price.”

Creativity & Brainstorming

needs work

What needs work

The candidate offered three distinct levers, including a menu-mix shift that goes beyond simple price or cost cuts, but listed them flat with no organizing buckets, and the brainstorm dried up after those three.

“Umm. Maybe raise prices, since they haven't changed in two years? Or renegotiate supplier contracts, maybe lock in longer-term bean pricing. Possibly change the menu mix toward items with cheaper inputs.”

“I'm not sure beyond that, sorry.”

“Possibly change the menu mix toward items with cheaper inputs.”

The ideas were not prioritized even after several prompts.

“I'm sorry, I really don't know.”

Missed opportunities

Turn 29: the interviewer asked "what else could Brew & Bean do to address this?"

A great answer: "I'll split ideas into revenue and cost. On revenue: price increases on specialty items, mix shift toward higher-margin drinks, and upselling food attachments. On cost: procurement across beans, dairy and packaging; product re-engineering such as cup sizes or a lower-cost blend; and waste reduction. I'd prioritize pricing first, because prices have been frozen for two years while inputs rose ~38%, then procurement."

Synthesis & Recommendation

needs work

What needs work

The candidate never committed to a recommendation. After four prompts the answer was tentative and immediately disowned.

"Prices, maybe. Since they haven't changed in two years and costs are up."

"But I don't really know, sorry."

The candidate gave a crisp mid-case mini-synthesis of the cost exhibit, but never produced an end-to-end synthesis linking the root cause (COGS up ~38% with frozen prices) to action and next steps.

"I'm sorry — I don't know."

"So it's really a COGS story."

Missed opportunities

Turn 36: "If the CEO asked you for one action to take first, which of your three ideas would you want to defend to her?"

A great answer: "I'd lead with a selective price increase. Input costs are up about 38% while menu prices haven't moved in two years, and COGS explains 16 of the 18 points of margin loss. I'd pair it with supplier renegotiation across beans, dairy and packaging. The key risk is volume loss, so I'd pilot in a subset of stores and monitor transaction counts before rolling it out."

Communication & Delivery

needs work

What needs work

The candidate repeatedly sought validation instead of stating conclusions top-down.

"Am I on the right track here?"

"Am I on the right track at all?"

When working through the math, the candidate was clear and easy to follow, but elsewhere frequent non-answers and apologies replaced reasoning out loud, so the interviewer had to re-prompt many times.

"I don't know, sorry. I can't really pick between them."

"I'm sorry, I really don't know."

"Okay. Per 100 of COGS two years ago: beans were 25, up 40%, so $25 \times 1.4 = 35$."

Missed opportunities

Turn 32: asked which idea to prioritize.

A great answer: "Let me think out loud. Pricing addresses the whole gap fastest, because prices are frozen. Procurement is slower and partial. Menu mix takes time to shift. So I'd lead with pricing."

Pushback, Composure & Case Leadership

needs work

What went well

The candidate proactively asked for relevant data to diagnose the problem.

"Okay. And on the cost side — do we have a breakdown of their cost structure?"

"Do we have a split of COGS by line item — like beans versus dairy versus packaging?"

What needs work

When challenged twice on points versus percent, the candidate held the wrong reading without any supporting reasoning and did not incorporate the correction.

"The 42 to 58 is still a 16% increase to me, that's the big driver."

"But yeah, I still read the 42 to 58 as a 16% increase, that feels like the main thing."

The candidate waited to be led on prioritization, needing four successive prompts to name even a tentative lever.

"I'm sorry — I don't know."

"But I don't really know, sorry."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:48

Okay, so... I'd want to look at a few things. First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe external stuff, like competitors or the market overall. Does that seem okay as a starting point?

Interviewer · 1:50

I won't say whether it's okay, so let's get more specific. Within revenue and costs, what exactly would you break down, and which branch would you look at first?

Candidate · 2:10

Can I ask — is the 15% revenue growth from more stores, or more sales per store?

Interviewer · 2:13

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Average revenue per store is \$2.4M a year.

Candidate · 2:30

Got it, thanks. Is that growth coming from price increases or more customers?

Interviewer · 2:32

Menu prices have not changed in two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 2:52

Okay. And on the cost side — do we have a breakdown of their cost structure?

Interviewer · 2:54

Take a look at this and tell me what you see.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:11

Sorry, one more — are those numbers percentages of revenue, or dollars?

Interviewer · 3:15

Percentages of revenue. Before we wrap, on what you asked about earlier: Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:30

hmm, I'm not sure what to do with that.

Interviewer · 3:31

I haven't put an exhibit in front of you yet, so let me do that now.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:42

I'm stuck, sorry.

Interviewer · 3:44

Take your time. The question on the table is what the cost structure is telling you about why margin fell.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:58

I don't really know where to start, sorry.

Interviewer · 4:01

I'll put the exhibit in front of you now. Tell me which cost lines moved the most between the two periods.

[Exhibit shown: Brew & Bean Cost Structure Over Time]

Candidate · 4:51

Okay — COGS moved the most, 42 to 58. That's a 16% increase. Labor stayed flat at 22, and overhead only went 12 to 14, so 2 points. So basically all of the margin loss, 24 down to 6, is 18 points, and COGS accounts for 16 of that. So it's really a COGS story. Am I on the right track here?

Interviewer · 4:53

I won't say whether you're on track. You called the COGS move a 16% increase, but then counted it as 16 of the 18 points. Points of what, and what's the difference between those two framings?

[Exhibit shown: Brew & Bean Cost Structure Over Time]

Candidate · 5:28

Points of revenue, I guess. But it's still a 16% increase, 42 to 58 is 16.

Honestly, god I'm so bad at this. I'm going to bomb every interview I do, I don't even know why I'm doing this.

Interviewer · 5:28

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 5:43

I'm okay, really — I'd rather keep going. Sorry about that.

Interviewer · 5:47

No apology needed. You said COGS went from 42 to 58 of revenue, and that you counted it as 16 of the 18 points of margin loss. What do you think is driving COGS up?

Candidate · 6:18

Probably input costs. Do we have a split of COGS by line item — like beans versus dairy versus packaging?

The 42 to 58 is still a 16% increase to me, that's the big driver.

Interviewer · 6:21

Raw coffee bean costs are up 40% over the past two years. On the 16 you keep returning to: it's 16 points of revenue, not a 16 percent increase. What do you make of the bean price change next to the other input costs?

Candidate · 7:11

Beans up 40%, and they were 25% of COGS two years ago. So that's part of it, but the other inputs are 75% of COGS and up 37.5%, so those matter more in dollar terms.

But yeah, I still read the 42 to 58 as a 16% increase, that feels like the main thing.

Am I on the right track at all?

Interviewer · 7:14

I don't grade mid-case, so you'll get that in the written report. Your bean and non-bean split makes sense to me as a structure. Per 100 of COGS two years ago, what do beans and the other inputs each add today, and what does that imply for total COGS growth?

Candidate · 8:07

Okay. Per 100 of COGS two years ago: beans were 25, up 40%, so $25 \times 1.4 = 35$. Other inputs were 75, up 37.5%, so $75 \times 1.375 = 103.1$. Total is 138.1, so COGS is up about 38% in dollar terms.

And revenue is up 15%, so costs are growing way faster than sales. That tracks with COGS going 42 to 58 of revenue.

Interviewer · 8:10

Okay. Now I'd like to hear ideas from you: beyond what we've discussed, what else could Brew & Bean do to address this?

Candidate · 8:43

Umm. Maybe raise prices, since they haven't changed in two years? Or renegotiate supplier contracts, maybe lock in longer-term bean pricing. Possibly change the menu mix toward items with cheaper inputs.

I'm not sure beyond that, sorry.

Interviewer · 8:46

Okay. Of those ideas, which would you prioritize, and why?

Candidate · 9:01

I don't know, sorry. I can't really pick between them.

Interviewer · 9:04

Take a minute if you need it. You've told me the cost pressure is across beans and the other inputs, and that prices haven't moved in two years. Given that, which one lever would you lead with?

Interviewer · 10:06

Still with me? Take your time. The question on the table: given that, which one lever would you lead with?

Candidate · 10:37

I'm sorry, I really don't know.

Interviewer · 10:40

Let's try it from the other side. If the CEO asked you for one action to take first, which of your three ideas would you want to defend to her, even if you're not certain?

Candidate · 10:52

I'm sorry — I don't know.

Interviewer · 10:55

That's okay. Pick the idea you'd be least uncomfortable defending, and tell me one reason it would help margin.

Candidate · 11:56

Prices, maybe. Since they haven't changed in two years and costs are up.

But I don't really know, sorry.

Interviewer · 11:59

Okay. Walk me through how a price increase would affect margin, and what could go wrong with it.

Candidate · 12:47

If prices go up, revenue per transaction rises and COGS stays the same in dollars, so margin improves. Like if costs are 58 of revenue now, a higher price makes that percentage smaller.

What could go wrong is customers buy less, or go to competitors. Volume could drop enough to offset the price gain.

That's all I've got, sorry.

Interviewer · 12:50

That's time. Thanks for working through it — your written report will follow.